SUBCONTRACT AGREEMENT FOR HVAC MECHANICAL WORK

This Subcontract Agreement (the "Subcontract") is entered into as of February 2, 2026, by and between **Harbor Point Construction, Inc.**, a California corporation with offices at 4180 Riverbend Parkway, Suite 300, Sacramento, California 95834, California Contractor's State License Board ("CSLB") License No. 1047721, Class B ("Contractor"), and **Delta Mechanical Systems, LLC**, a California limited liability company with offices at 2215 Industrial Way, West Sacramento, California 95691, CSLB License No. 1088354, Class C-20 ("Subcontractor").

Contractor has entered into a prime contract (the "Prime Contract") with **Sacramento Unified School District** ("Owner") for construction of the project known as **Rosemont Elementary Modernization** (the "Project"), located at 9612 Kiefer Boulevard, Sacramento, California 95827. Contractor wishes to engage Subcontractor to perform a portion of the Project work, and Subcontractor wishes to perform that work, on the terms stated below.

The parties agree as follows:

ARTICLE 1 — DEFINITIONS

1.1 "Subcontract Work" means all labor, materials, equipment, supervision, transportation, permits, submittals, testing, and services necessary to complete the work described in Article 2. It includes work reasonably inferable from the Subcontract Documents as necessary to produce the intended result.

1.2 "Subcontract Documents" means this Subcontract, the Prime Contract, and the documents listed in Article 3, together with all modifications issued after the date of this Subcontract.

1.3 "Architect" means Calder Rowe Architects, the design professional of record for the Project.

1.4 "Final Completion" means the point at which the Subcontract Work is fully complete under the Subcontract Documents, all punch list items are corrected, and all closeout documents required by Article 13 and Article 2 have been delivered to and accepted by Contractor.

1.5 "Retention" or "Retainage" means the portion of each progress payment withheld under Article 7.

ARTICLE 2 — SCOPE OF SUBCONTRACT WORK

2.1 Subcontractor shall furnish and install complete heating, ventilating, and air conditioning systems for the Project as shown on Drawings M-001 through M-412 and as specified in Specification Sections 23 05 00 (Common Work Results for HVAC), 23 05 93 (Testing, Adjusting, and Balancing Coordination), 23 07 00 (HVAC Insulation), 23 09 23 (Direct Digital Controls), 23 23 00 (Refrigerant Piping), 23 31 13 (Metal Ductwork), 23 37 13 (Air Outlets and Inlets), and 23 74 13 (Packaged Rooftop Units).

2.2 The Subcontract Work includes demolition and legal disposal of existing HVAC equipment, ductwork, and controls within Buildings A, B, and C; crane service and rigging for rooftop equipment; curb adapters; condensate piping; equipment startup; coordination with the Owner's independent balancing agency; and Owner training.

2.3 The Subcontract Work excludes structural roof framing, roofing patch-back, line-voltage power wiring to equipment disconnects, and fire alarm duct detector wiring. Subcontractor shall furnish and set duct detectors for installation and wiring by others.

2.4 Subcontractor shall prepare and submit shop drawings, product data, and coordination drawings in the time required by Contractor's submittal schedule. Subcontractor shall participate in Project coordination meetings and shall resolve conflicts with other trades before fabrication.

ARTICLE 3 — SUBCONTRACT DOCUMENTS

3.1 The Subcontract Documents consist of this Subcontract; the Prime Contract, including its General, Supplementary, and Special Conditions; Drawings and Specifications prepared by the Architect dated October 17, 2025, as approved by the Division of the State Architect under Application No. 02-121884; Addenda 1 through 4; and the Exhibit attached to this Subcontract.

3.2 Subcontractor is bound to Contractor by the terms of the Prime Contract to the same extent that Contractor is bound to Owner, insofar as those terms apply to the Subcontract Work. Contractor has the same rights against Subcontractor that Owner has against Contractor.

3.3 If there is a conflict among the Subcontract Documents, the provision imposing the higher standard of performance or quality governs. If a conflict concerns a payment term, this Subcontract governs.

3.4 Subcontractor acknowledges that it has received and reviewed the Subcontract Documents and has had the opportunity to inspect the site before signing.

ARTICLE 4 — SUBCONTRACT SUM

4.1 Contractor shall pay Subcontractor for full performance of the Subcontract Work the sum of **Four Hundred Twelve Thousand Dollars ($412,000.00)** (the "Subcontract Sum"), subject to additions and deductions by Change Order under Article 10.

4.2 The Subcontract Sum includes all applicable taxes, fees, permits, prevailing wages, fringe benefits, insurance, bond premiums, and overhead and profit.

4.3 The Subcontract Sum is allocated among the line items in the Exhibit — Schedule of Values. Subcontractor shall not change that allocation without Contractor's written approval.

ARTICLE 5 — PROGRESS PAYMENTS

5.1 On or before the 25th day of each month, Subcontractor shall submit to Contractor an application for payment for Subcontract Work performed through the end of that month. Each application shall be itemized against the Schedule of Values and accompanied by the lien releases required by Article 8, certified payroll records for the period, and any other documentation reasonably required by Contractor or Owner.

5.2 Contractor shall include Subcontractor's approved application in Contractor's own payment application to Owner.

5.3 **Contractor shall pay Subcontractor each progress payment within seven (7) days after Contractor receives payment from Owner for the Subcontract Work covered by that application.** The parties expressly agree in writing to this payment timing. This paragraph governs the time of payment and is not a condition that Owner pay before Subcontractor is entitled to be paid.

5.4 Each progress payment shall equal the value of Subcontract Work properly completed and installed during the period, less Retainage under Article 7, less prior payments, and less any amounts withheld under Article 9.

5.5 **Contractor will not pay for materials or equipment stored on the site or off the site. Materials and equipment become eligible for payment only after they have been incorporated into the Subcontract Work.** Subcontractor bears the risk of loss for all stored materials and equipment until they are installed.

5.6 Payment of any application does not constitute acceptance of defective or nonconforming work.

ARTICLE 6 — TIME AND SCHEDULE

6.1 Subcontractor shall begin the Subcontract Work upon written notice from Contractor and shall perform it in accordance with Contractor's Project schedule, as updated from time to time. Time is of the essence.

6.2 The Project is an occupied school campus. Subcontractor shall complete the rooftop equipment replacement for Buildings A and B during the 2026 summer recess, between June 8, 2026 and August 7, 2026. Building C work shall be performed in phases as directed by Contractor to avoid disrupting instruction.

6.3 Subcontractor shall furnish labor and equipment in sufficient quantity to maintain the schedule. If Subcontractor falls behind, it shall, at no added cost, increase its crew size or work additional shifts as needed to recover.

6.4 If Owner assesses liquidated damages against Contractor for delay caused in whole or part by Subcontractor, Subcontractor shall be liable to Contractor for the portion of those damages attributable to Subcontractor.

6.5 Subcontractor shall submit any request for an extension of time in writing within five (5) days after the start of the delay. Extensions are allowed only to the extent Contractor obtains a corresponding extension from Owner or the delay is caused by Contractor.

ARTICLE 7 — RETAINAGE

7.1 **Contractor shall withhold Retainage of five percent (5%) from each progress payment to Subcontractor.**

7.2 **Retainage shall be released to Subcontractor upon Final Completion of the Subcontract Work and Contractor's receipt of retention from Owner. Contractor shall pay Subcontractor the Retainage within ten (10) days after both of these conditions are satisfied.**

7.3 Before release of Retainage, Subcontractor shall deliver to Contractor the closeout documents required by Article 13, a conditional waiver and release on final payment in the statutory form, and final lien releases from all lower-tier suppliers and subcontractors as required by Article 8.

7.4 Contractor may withhold from released Retainage amounts permitted by Article 9.

ARTICLE 8 — LIEN AND PAYMENT WAIVERS

8.1 **As a condition of each progress payment, Subcontractor shall deliver with its payment application a conditional waiver and release on progress payment covering the amount requested.**

8.2 **Within five (5) days after receiving each payment, Subcontractor shall deliver to Contractor an unconditional waiver and release covering the amount received.**

8.3 **Subcontractor shall obtain and deliver to Contractor, with each payment application, matching conditional and unconditional waivers and releases from each of its lower-tier subcontractors and material suppliers who have furnished labor or materials for the period covered.**

8.4 **All waivers and releases delivered under this Article shall be in the statutory forms prescribed by California Civil Code sections 8132, 8134, 8136, and 8138, as applicable. Contractor may reject any waiver or release that is not in the statutory form.**

8.5 Subcontractor shall promptly pay its lower-tier subcontractors and suppliers. If any stop payment notice or claim is filed against the Project, Contractor, or its payment bond by anyone claiming through Subcontractor, Subcontractor shall cause it to be released at its own cost within ten (10) days after written notice from Contractor.

ARTICLE 9 — WITHHOLDING, BACKCHARGES AND SETOFF

9.1 **Contractor may withhold from any payment due to Subcontractor an amount sufficient to cover the cost of correcting defective or nonconforming Subcontract Work, until the work has been corrected and accepted.**

9.2 **Contractor may set off against any amount due to Subcontractor under this Subcontract the amount of any backcharge for costs Contractor has incurred because of Subcontractor's acts or omissions,** including cleanup, damage to the work of others, supplementing Subcontractor's forces, and costs of correcting Subcontractor's work.

9.3 Contractor shall give Subcontractor written notice of any backcharge, with reasonable supporting detail, no later than the date the related payment is due. Except in an emergency, Contractor shall give Subcontractor forty-eight (48) hours' written notice and an opportunity to cure before performing work for which a backcharge will be assessed.

9.4 Contractor may also withhold payment for any of the following: unreleased stop payment notices arising from the Subcontract Work; failure to submit certified payroll records; Owner withholding attributable to the Subcontract Work; and reasonable evidence that the Subcontract Work cannot be completed for the unpaid balance of the Subcontract Sum.

9.5 When the basis for withholding has been removed, Contractor shall pay the withheld amount with the next progress payment.

ARTICLE 10 — CHANGES

10.1 Contractor may, without invalidating this Subcontract, order additions, deletions, or other changes to the Subcontract Work. Subcontractor shall not perform extra work without a written Change Order or written Construction Change Directive signed by Contractor.

10.2 Subcontractor shall submit an itemized proposal for any change within seven (7) days after Contractor's request. Pricing shall separately show labor hours and rates, material quantities and unit costs, equipment, and markup. Markup on Subcontractor's own work shall not exceed fifteen percent (15%) for overhead and profit combined, and markup on work of lower-tier subcontractors shall not exceed five percent (5%).

10.3 If Subcontractor believes any direction from Contractor is a change, Subcontractor shall give written notice within five (5) days after receiving the direction and before proceeding. A claim not timely noticed is waived to the extent Contractor is prejudiced.

10.4 For changes that originate with Owner, Subcontractor is entitled to an adjustment in the Subcontract Sum or time only to the extent Contractor obtains a corresponding adjustment from Owner.

ARTICLE 11 — INSURANCE AND BONDS

11.1 Before starting work, Subcontractor shall furnish certificates and endorsements showing the following coverage, maintained until Final Completion and, for completed operations, for three (3) years afterward:

(a) Commercial general liability, occurrence form, $2,000,000 per occurrence and $4,000,000 aggregate; (b) Business automobile liability, $1,000,000 combined single limit; (c) Workers' compensation as required by California law and employer's liability of $1,000,000 per accident; and (d) Umbrella or excess liability of $5,000,000.

11.2 Contractor, Owner, and the Architect shall be named as additional insureds on the general liability, automobile, and umbrella policies on a primary and non-contributory basis. All policies shall include a waiver of subrogation in favor of the additional insureds.

11.3 Subcontractor shall furnish a performance bond and a payment bond, each in the full amount of the Subcontract Sum, issued by an admitted California surety acceptable to Contractor. The cost of the bonds is included in the Subcontract Sum.

ARTICLE 12 — INDEMNITY

12.1 To the fullest extent permitted by law, and subject to California Civil Code section 2782, Subcontractor shall defend, indemnify, and hold harmless Contractor, Owner, and their officers, employees, and agents from claims, damages, losses, and expenses, including reasonable attorneys' fees, arising out of or relating to the performance of the Subcontract Work, to the extent caused by the negligence, recklessness, or willful misconduct of Subcontractor or anyone for whose acts it is responsible.

12.2 Subcontractor's duty to defend arises upon tender of a claim and is not conditioned on a determination of fault.

12.3 This Article survives completion or termination of this Subcontract.

ARTICLE 13 — WARRANTY AND CLOSEOUT

13.1 Subcontractor warrants that all materials and equipment furnished are new and of the quality specified, and that the Subcontract Work will be free from defects in materials and workmanship for one (1) year after the date of Owner's acceptance of the Project, or any longer period stated in the Specifications. Compressors on packaged rooftop units shall carry a five (5) year manufacturer's warranty.

13.2 Subcontractor shall correct warranty defects within seven (7) days after written notice, or within twenty-four (24) hours if the defect affects heating or cooling of occupied classrooms.

13.3 As a condition of Final Completion, Subcontractor shall deliver three (3) bound copies and one electronic copy of operation and maintenance manuals, manufacturer warranties, as-built record drawings, startup reports, controls sequences and graphics, and attendance records for Owner training.

ARTICLE 14 — SAFETY, LABOR AND PUBLIC WORKS COMPLIANCE

14.1 Subcontractor shall comply with all applicable safety laws, including Cal/OSHA regulations, and with Contractor's site-specific safety plan. Subcontractor shall designate a competent person on site at all times when its forces are working.

14.2 The Project is a public work. Subcontractor shall pay not less than the prevailing wage rates determined by the California Department of Industrial Relations ("DIR") and shall comply with the applicable apprenticeship requirements. Subcontractor represents that it is registered with the DIR under Registration No. 1000892417 and shall maintain that registration throughout the Project. Subcontractor shall verify the DIR registration of each lower-tier subcontractor before it begins work.

14.3 Subcontractor shall submit certified payroll records electronically to the DIR and in copy to Contractor each week.

14.4 Because the Project is on an active school site, all of Subcontractor's personnel who may have contact with pupils shall comply with the fingerprinting and background-check requirements of California Education Code section 45125.1, or shall work only under the supervision arrangements approved by Owner.

14.5 Subcontractor shall not permit tobacco, alcohol, firearms, or inappropriate language or conduct on the campus.

ARTICLE 15 — DEFAULT AND TERMINATION

15.1 If Subcontractor fails to perform the Subcontract Work in accordance with the Subcontract Documents, fails to maintain the schedule, fails to pay its workers or suppliers, or otherwise materially breaches this Subcontract, Contractor may give written notice of default. If Subcontractor does not begin to cure within three (3) working days and diligently complete the cure, Contractor may supplement Subcontractor's forces or terminate this Subcontract in whole or in part.

15.2 Upon termination for default, Contractor may take possession of materials and equipment at the site and complete the Subcontract Work by any reasonable means. Subcontractor shall not be entitled to further payment until the Subcontract Work is complete. If Contractor's costs to complete exceed the unpaid balance of the Subcontract Sum, Subcontractor and its surety shall pay the difference to Contractor.

15.3 Contractor may terminate this Subcontract for convenience on written notice. In that event, Subcontractor shall be paid for Subcontract Work properly performed through the termination date, plus reasonable demobilization costs, but not anticipated profit on unperformed work. If Owner terminates the Prime Contract, this Subcontract terminates on the same terms.

ARTICLE 16 — DISPUTE RESOLUTION

16.1 The parties shall first attempt to resolve any dispute through good-faith negotiation between their principals.

16.2 Disputes that involve claims against Owner shall be resolved under the claim procedures of the Prime Contract and California Public Contract Code section 9204. Subcontractor shall be bound by the outcome of those procedures to the same extent as Contractor. Contractor shall present Subcontractor's claims to Owner as permitted by law, and Subcontractor shall bear its own costs of preparing and supporting them.

16.3 Disputes that do not involve Owner and are not resolved by negotiation within thirty (30) days shall be submitted to non-binding mediation in Sacramento County. If mediation fails, either party may file suit in the Superior Court of California, County of Sacramento.

16.4 Subcontractor shall continue performing the Subcontract Work during any dispute, and Contractor shall continue making undisputed payments.

ARTICLE 17 — GENERAL PROVISIONS

17.1 **This Subcontract is governed by the laws of the State of California.**

17.2 Subcontractor shall not assign this Subcontract or sublet any portion of the Subcontract Work without Contractor's prior written consent. Subcontractor's lower-tier subcontractors are bound to Subcontractor in the same manner that Subcontractor is bound to Contractor.

17.3 Notices shall be in writing and delivered by hand, by overnight courier, or by email with confirmation of receipt, to the addresses stated in the preamble or to another address a party designates in writing.

17.4 Subcontractor is an independent contractor. Nothing in this Subcontract creates an employment, partnership, or joint venture relationship.

17.5 If any provision of this Subcontract is found unenforceable, the remaining provisions remain in effect, and the unenforceable provision shall be enforced to the maximum extent permitted by law.

17.6 This Subcontract, with the Subcontract Documents, is the entire agreement between the parties for the Subcontract Work and supersedes all prior proposals and negotiations. It may be amended only by a writing signed by both parties.

17.7 Waiver of any breach is not a waiver of any later breach. This Subcontract may be signed in counterparts and by electronic signature.

IN WITNESS WHEREOF, the parties have executed this Subcontract as of the date first written above.

HARBOR POINT CONSTRUCTION, INC.

By: _____ Name: Gregory A. Linwood Title: Vice President, Operations Date: _____

DELTA MECHANICAL SYSTEMS, LLC

By: _____ Name: Marisol T. Okafor Title: Managing Member Date: _____

EXHIBIT — SCHEDULE OF VALUES

Item	Description	Scheduled Value
---	---	---
1	Mobilization, submittals and coordination drawings	$12,000.00
2	Demolition and disposal of existing HVAC systems	$28,000.00

3	Packaged rooftop units, curb adapters and rigging	$118,000.00
4	Metal ductwork and accessories	$96,000.00
5	HVAC insulation	$26,000.00
6	Refrigerant and condensate piping	$22,000.00
7	Air outlets and inlets	$18,000.00
8	Direct digital controls	$54,000.00
9	Testing, adjusting and balancing coordination	$16,000.00
10	Startup, commissioning support and Owner training	$14,000.00
11	Closeout documents, O&M manuals and record drawings	$8,000.00
	****Subcontract Sum****	****$412,000.00****